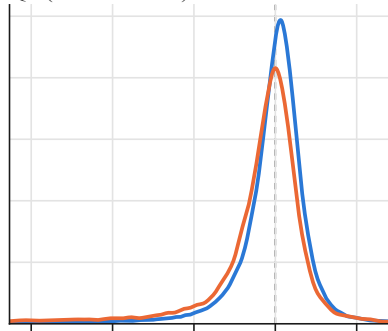


Change in Tier 1 leverage ratio (pp)

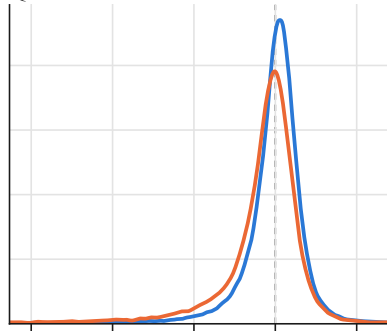
Expansion

Recession

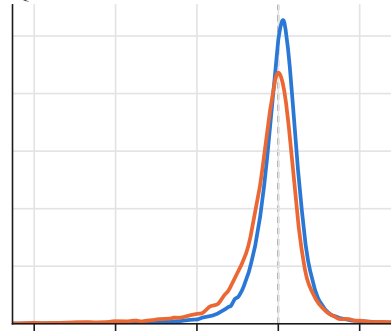
Q1 (smallest 20%)



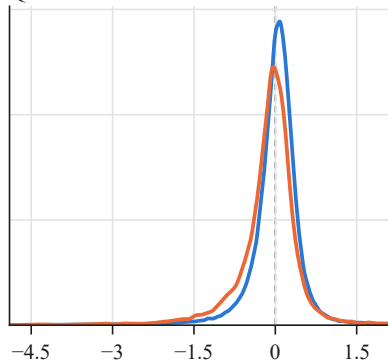
Q2



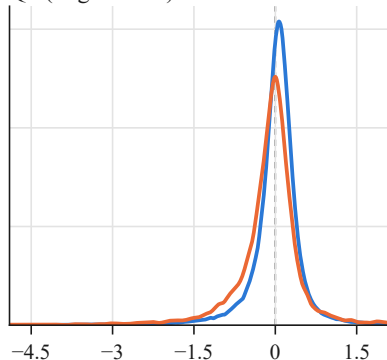
Q3



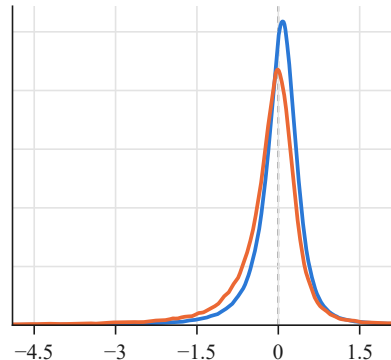
Q4



Q5 (largest 20%)



All banks



Note: Gaussian kernel densities, Silverman bandwidth, estimated separately for expansion and recession quarters (quarters overlapping an NBER recession). Quintiles are formed each quarter from total assets at $t-1$. Percentage-point change in each bank's Tier 1 leverage ratio from the previous quarter.

Source: FDIC Statistics on Depository Institutions; author's calculations.